

Week 10-Semester 2

Stock Markets II

Dr. Dalia ElEdel

BMC

Bloomberg Market Concepts
© 2020 Bloomberg L.P.

function
GP

SPX Index

95) Save As...

96) Actions -

97) Edit -

98) Table

Historical Line Chart

12/30/1994 - 12/31/2014

Last Price

Line

11) Compare MAvg.

Volume

USD

1D

3D

1M

6M

YTD

1Y

5Y

Max

Daily

<<

>>

Security/Study

Event

Settings

■ S&P 500 index value

Track Annotate News Zoom



- In this lecture we will discuss the following:
 - Overview of stock exchanges
 - What are the various equity indexes and what each measures?
 - The Stock Market As a Predictor of Economic Activity

Lecture 2 on the Stock Markets

Readings: Burton, M, Nesiba, R., and Brown, B. 2015. An introduction to Financial markets and Institutions. Second Edition. Routledge, Taylor & Francis Group. London & New York

Barnes, P, . 2010. Stock Market Efficiency, Insider Dealing and Market abuse. Gower Publisher

The New York Stock Exchange

- The **New York Stock Exchange (NYSE)** is the world's largest market for trading securities
 - about 2,100 companies including 530 non-U.S. companies (as of Jan 2025).
 - As of Jan 2026, its equity market capitalization exceeds \$44 trillion.
 - Includes tech giants like Apple, Microsoft, and Amazon.
- For a stock to be listed, the corporation must apply to the exchange and meet several criteria dealing with the size and number of shareholders



The New York Stock Exchange

- The NYSE originates from the Buttonwood Agreement of May 17, 1792.
- Formal establishment occurred in 1817 with the formation of the New York Stock & Exchange Board (NYSEB).
- The Securities and Exchange Commission (SEC) was established in 1934 to enhance market stability.
- The infamous "Black Monday" crash of October 19, 1987 – DJIA ↓ 22%.
- Introduced circuit breaker as a result.
- By 1997, daily trading volume surpassed 1 billion shares.
- In 2006, NYSE Group, Inc. was established as a publicly traded company.

The New York Stock Exchange

- 1.NYSE** - is the flagship exchange of the NYSE Group. The NYSE primarily lists large-cap stocks of well-established companies. It offers both floor-based trading (auction market) and electronic trading.
 - 2.NYSE American** - focuses on small and mid-cap companies. Provide issuers with the benefits of a large stock exchange while catering to the needs of smaller companies.
 - 3.NYSE Arca** - a fully electronic exchange offering trading in equities, exchange-traded funds (ETFs), options, and other financial instruments.
- The NYSE is home to several major market indexes, including the NYSE Composite Index, Dow Jones Industrial Average (DJIA) and the S&P 500 Index.

NASDAQ Market

- Formerly known as over-the-counter market
- NASDAQ stands for “National Association of Securities Dealers Automated Quotation System”
- It's founded in 1971 by the National Association of Securities Dealers (NASD).
- 3,300 companies listed on its various market tiers.
- These companies represent a diverse range of industries, including technology, healthcare, consumer goods, finance, and more.
- NASDAQ is the world's first electronic stock market (no trading floor).

NASDAQ Market

- NASDAQ is known for its high concentration of technology companies and its role as a platform for innovation and growth-oriented companies.
- It tends to attract smaller and newer companies.
- It typically has less stringent listing requirements compared to the NYSE.
- NASDAQ Composite Index (includes all stocks listed on the NASDAQ) and the NASDAQ-100 Index (includes the largest non-financial companies).
- Includes companies such as Apple Inc, Amazon Inc, Microsoft, Alphabet Inc. (GOOGL), Facebook, Tesla, and Netflix.

London Stock Exchange

- The **London Stock Exchange (LSE)** is one of the oldest exchanges.
- In 1984 the Financial Times Stock Exchange (FTSE) 100 is launched.
- In 1995 Alternative Investment Market (AIM) is launched.
- London Stock Exchange Group was created in October 2007 when LSE merged with Milan Stock Exchange, Borsa Italiana.
- Before company's shares are first allowed to be traded on the LSE and when new shares are listed, it must publish a detailed document containing information about itself, its business and its finances.
- The *Listing Particulars* is designed to provide all information considered relevant to an investor's decision whether to buy shares in the company.

London Stock Exchange

- 1) **Main Market:** is the primary market for trading equities of large and established companies. It is divided into segments such as the Premium Segment and the Standard Segment, which have different listing requirements based on market capitalization, corporate governance standards, and history of financial performance.
- 2) **Alternative Investment Market (AIM):** a sub-market designed for smaller and growing companies. It offers a more flexible regulatory environment compared to the Main Market.
- 3) **Specialist Markets:** caters to specific types of securities and trading activities such as trading fixed-income securities, exchange-traded funds (ETFs), derivatives, and international securities.

Stock Market Indexes

- Stock market indexes measure the overall performance of the stocks included in the index
 - can be used to evaluate how well a specific stock or mutual fund is performing relative to the stocks represented in the index
 - Well over 100 indexes monitor stock prices

<https://www.tradingview.com/markets/indices/quotes-major/>

Stock Market Indexes

- The **Dow Jones Industrial Average (the Dow)** is a price-weighted index which means that stocks with higher prices have more influence on the index's value.
- It is the oldest index in use today (introduced in 1896).
- It is calculated by adding up the prices of 30 component stocks and dividing the sum by the divisor.
- The divisor is adjusted periodically to account for stock splits, dividends, and other factors to ensure continuity in the index value over time.

function
GP

INDU Index 95) Save As... 96) Actions 97) Edit 98) Table Historical Line Chart

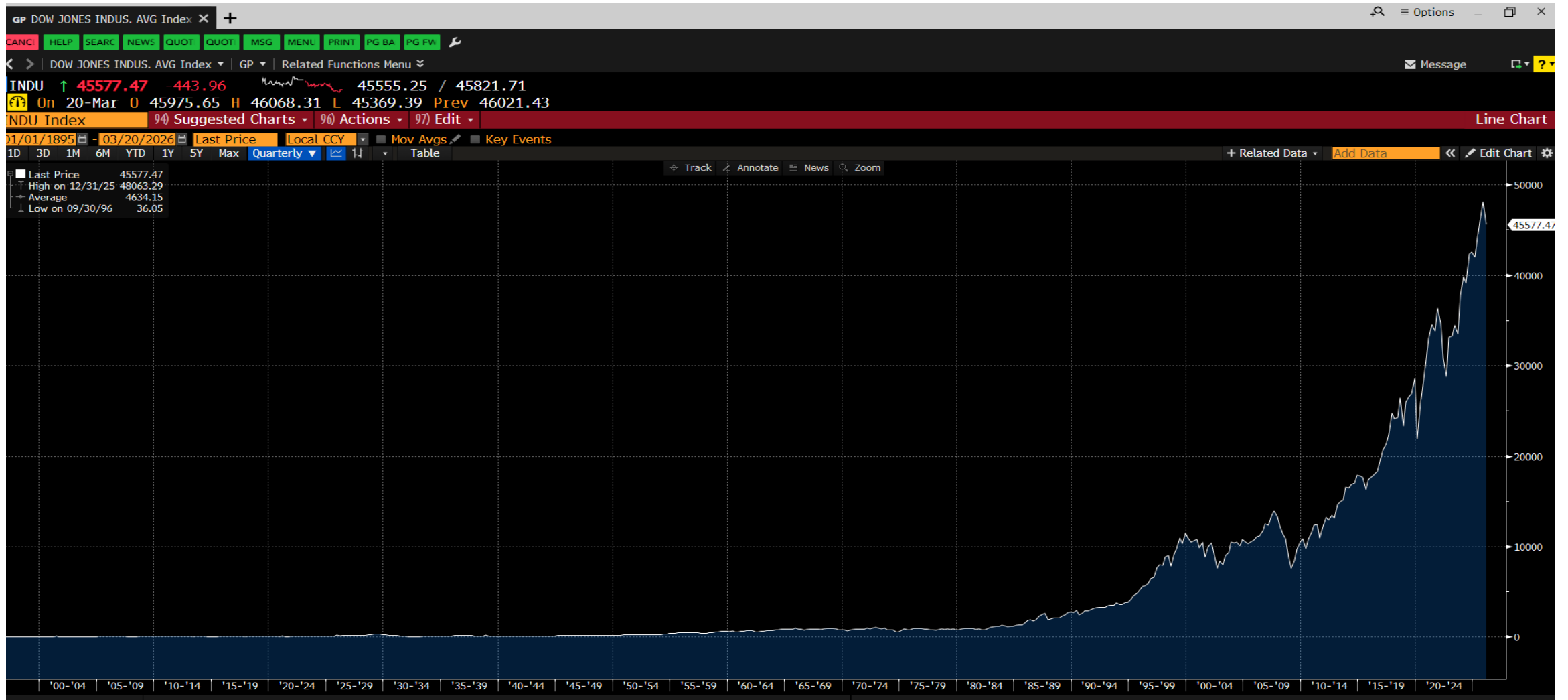
03/30/1900 - 12/15/1933 Last Price Line 11) Compare Mov. Avgs Volume USD

1D 3D 1M 6M YTD 1Y 5Y Max Monthly << Security/Study Event >>

■ Dow Jones Industrial Average







Source: Bloomberg.

Dow Jones index composition as of 23 March, 2026 11:27am

Stock Market Indexes

- The **Dow Jones Transportation Average** is calculated using the prices of 20 airline, trucking, and railroad stocks.
- The **Dow Jones Utility Average** is calculated using the prices of 15 gas, electric, and power company stocks
- The **Dow Jones Composite Index** combines the components of both the Dow Jones Industrial Average and the Dow Jones Transportation Average to provide a broader view of the stock market's performance.
- **Dow Jones Global Indices** includes a variety of global indices covering different regions and sectors. E.g. Dow Jones Global Titans 50 (tracks performance of 50 of the world's largest multinational corporations)

PORT Portfolio & Risk Analytic

Manage Export Settings

Workspace New Workspace

INDU +

Intraday Positions Aggregate Trend Performance Total Return TEV Attribution

Intraday Navigator Summary

Report Definition

Portfolio INDU

Benchmark Default (None)

Differences

Universe Settings

Currency Default (USD)

Classification

GICS Sector

Intraday Field Settings

Display Units Basis Points

Perf Start Time Automatic

Analytics Level Security

Apply & Reload

Report Layout

Columns Fields > Universes

Show Positions All Universes

Contr To Return	vs --	CTR Movers Buckets	CTR Movers Securities	Most Tot Ret Drift Buckets	Most Tot Ret Drift Securities
INDU	0.0	Energy 0.0	CHEVRON CORP 0.0	No data available to display.	No data available to display.
		Materials 0.0	SHERWIN-WILL.. 0.0		
		Industrials 0.0	3M CO 0.0		
		Consumer Disc... 0.0	HONEYWELL INL. 0.0		
		Consumer Sta... 0.0	BOEING CO/THE 0.0		

Classification	#	% Wgt	Tot Rtn	CTR	Mkt Val	P&L	Pos	Price	Px Chg (%)
Total	30	100.00	0.00	0.00	7,403	0			
Communication Services	2	2.02	0.00	0.00	149	0			
Consumer Discretionary	4	11.99	0.00	0.00	887	0			
Consumer Staples	3	4.57	0.00	0.00	338	0			
Energy	1	2.72	0.00	0.00	202	0			
Financials	5	26.93	0.00	0.00	1,994	0			
Health Care	4	13.14	0.00	0.00	973	0			
Industrials	4	16.73	0.00	0.00	1,239	0			
Information Technology	6	17.80	0.00	0.00	1,317	0			
Materials	1	4.10	0.00	0.00	304	0			

Source: Bloomberg.
Dow Jones index Weightings as per
23 March 2026, 11:29.

PORT Portfolio & Risk Analytic

CANCEL HELP SEARCH NEWS QUOT QUOT MSG MENU PRINT PG BA

DOW JONES INDUS. AVG Index PORT Related Functions

11) View 12) Actions 13) Settings 14) Trade Simula

Intraday Holdings Characteristics VaR Scenarios Tr

Main View Summary Cash Flows Liquidity Risk Key Rates

DOW JONES INDUS. AVG vs Default (None) by GICS Sectors

Date Trend

Name	Wgt
DOW JONES INDUS. AVG (INDU)	100.00
Communication Services	2.79
Consumer Discretionary	13.71
Consumer Staples	7.56
Energy	3.24
Financials	17.24
Health Care	19.52
Industrials	14.94
Information Technology	19.84
Materials	1.15

Source: Bloomberg.
Dow Jones index Weightings as per
1st of March 2023, 8:30am

Stock Market Indexes

- The Standard & Poor's 500 (S&P 500) is a weighted index of prices of 500 broad-based corporations
 - weighted by their relative values



Source: Bloomberg.
S&P 500 performance 2025-2026



Source: Bloomberg.

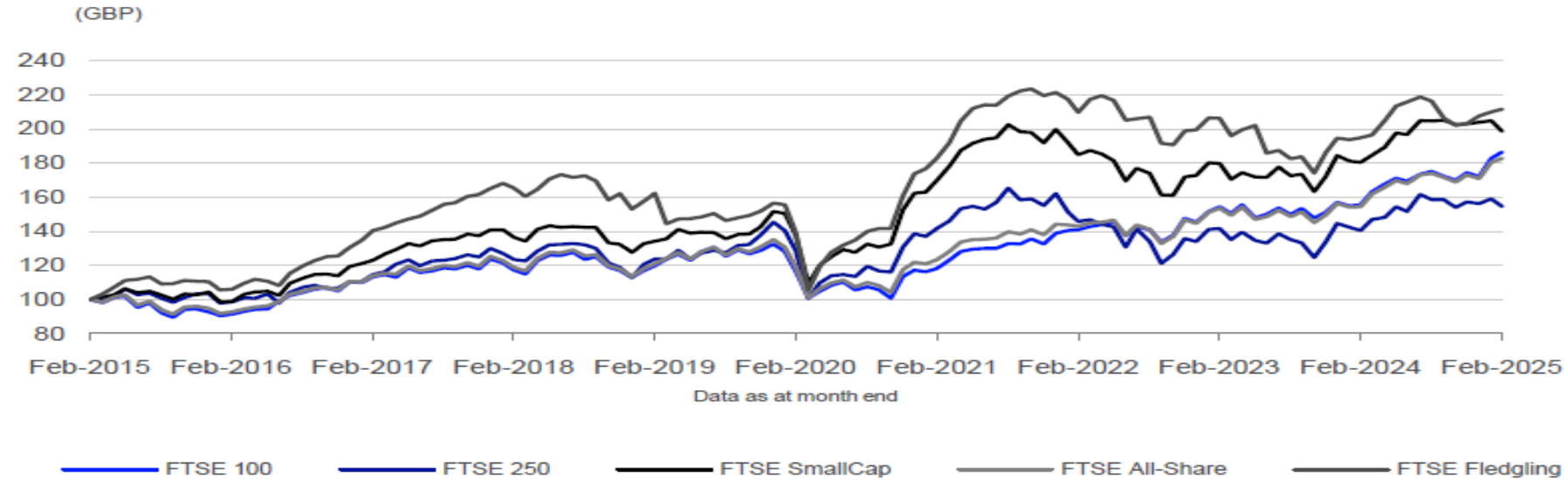
S&P 500 index composition as of 23 March 2026, 11:44

Stock Market Indexes

- The **Financial Times Stock Exchange (FTSE)** is a market-capitalization-weighted index, which means that the size of each company, as measured by its market capitalization, determines its influence on the index's value.
- Includes the top 100 companies based on market capitalization.
- <https://www.londonstockexchange.com/exchange/prices-and-markets/stocks/indices/summary/summary-indices-constituents.html?index=UKX>
- The index began in 1984 with a base value of 1000.
- The FTSE-100 is recalculated every time a company's share price changes.
- The FTSE indices are rebalanced regularly to ensure they accurately represent changes in the stock market.

system.

10-Year Performance - Total Return



Performance and Volatility - Total Return

Index (GBP)	Return %						Return pa %*		Volatility %**		
	3M	6M	YTD	12M	3YR	5YR	3YR	5YR	1YR	3YR	5YR
FTSE 100	6.9	6.5	8.3	19.8	32.3	59.9	9.8	9.8	9.5	11.5	12.9
FTSE 250	-1.7	-2.5	-1.1	10.0	6.1	20.3	2.0	3.8	12.1	14.7	19.1
FTSE SmallCap	-2.2	-3.0	-2.7	9.9	7.3	44.1	2.4	7.6	8.2	10.8	17.2
FTSE All-Share	5.7	5.2	6.9	18.4	27.7	53.4	8.5	8.9	9.4	11.5	13.7
FTSE Fledgling	4.3	-2.2	2.0	8.7	1.0	52.0	0.3	8.7	6.7	9.4	18.8

* Compound annual returns measured over 3 and 5 years respectively

UK stocks trade at steep discount to US peers

Forward price-to-earnings ratio

— FTSE 100

— S&P 500



Source: FactSet

© FT

Market boom and bust!

- Ups and Downs
 - Throughout its history, the stock market has tended to move in cycles of activity.
- The stock market is greatly affected by economics, social, and political factors.
- While it's difficult to predict the market's future activity, one thing is certain: The stock market will likely continue to have periods of ups and downs.

How Stock Indexes Are Calculated

Method	Description	Example
Price-Weighted	Stocks with higher prices have more influence	Dow Jones (DJIA)
Market Cap-Weighted	Stocks with larger market value influence more	S&P 500, NASDAQ

Key Difference:

- Price-weighted favors expensive stocks, regardless of company size
- Cap-weighted reflects company size, giving more weight to bigger firms

Price vs. Market Cap Weighting in Action

Stock	Price	Market Cap
Stock A	£300	£30 billion
Stock B	£30	£300 billion

In a Price-Weighted Index:

- Stock A dominates despite being a smaller company

In a Market Cap-Weighted Index:

- Stock B dominates because it's a much larger company

Conclusion:

- Price-weighted = sensitive to stock price changes
- Market cap-weighted = tracks the economy more accurately

Stock Market Impact on the Economy

- **Wealth Effect:** A stock market crash can lead to a substantial decrease in household wealth, as the value of investment portfolios declines. Leads to reduced consumer confidence and spending.
- **Investment and Capital Spending:** Corporations often rely on equity markets for financing through stock issuance. A stock market crash can hinder their ability to raise capital – can lower investment and slow down economic growth.
- **Credit and Lending:** A sharp decline in stock prices can erode the value of collateral held by financial institutions, leading to tighter credit conditions. This reduce lending and dampen economic activity.

Stock Market Impact on the Economy

- **Business Confidence and employment:** Stock market downturn can signal economic uncertainty - lead businesses to delay hiring decisions and investment plans. This can result in higher unemployment and lower consumer spending.
- **Impact on Government Finances:** Governments may experience reduced tax revenues during economic downturns (due to lower corporate profits and individual income). Governments may need to increase spending to support social welfare and stimulate economy.
- **Global Spillover Effects:** Stock market crashes can have spillover effects beyond national borders. Declines in one country's stock market can trigger sell-offs in other markets.

Stock Market and Economic Activity (Adebayo et al., 2020)

Author(s)	Country(S)	Variable(s) Utilized	Econometric Technique	Findings
Atje & Jovanovic (1993)	Forty Countries	Y, SM	OLS	SM → Y
Arestis et al. (2001).	Developed Countries	Y, SM, TO, ST	OLS	TO → Y ST → Y SM → Y
Oskoee (2010)	Iran	Y, SC, SO, ST	OLS	TO → Y ST → Y SM → Y
Padhan (2007)	India	Y, SM, TO, ST	TYDL Granger Causality Test	ST ↔ Y SM ↔ Y
Deb and Mukherjee (2008)	Tanzania	Y, SM, ST	Bounds Coint, VAR Granger Causality Test	SM ↔ Y
Adamu and Sanni (2005)	Nigeria	Y, SM, ST, TO	OLS, Granger Causality Test	SM → Y
Hailemariam & Guotai, (2014).	17 emerging markets and 10 developed markets	Y, SM, ST, TO	OLS	TO → Y ST → Y SM → Y

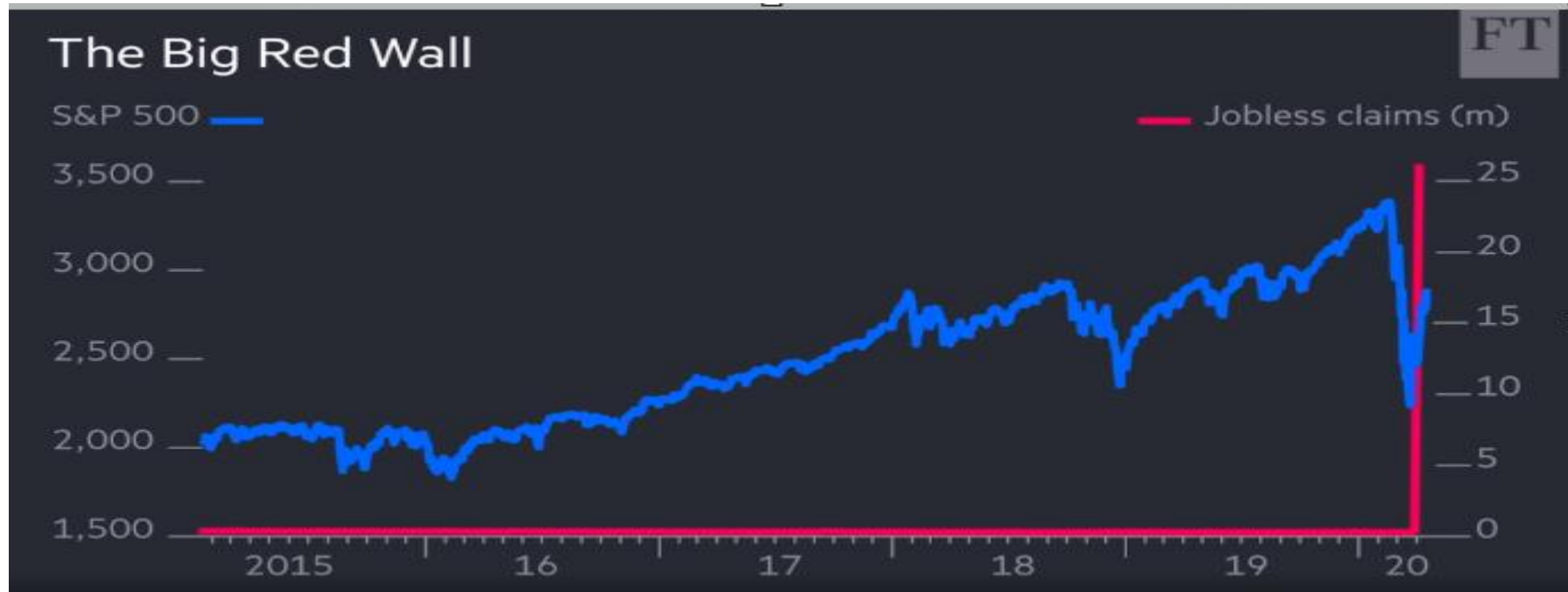
Where: Y: GDP → indicates a positive relationship; ↔ indicates bidirectional causality; → indicates uni-directional causality Stock market total value traded(ST), Stocks market turnover ratio (TO), Stock Market capitalization (SM)

Stock Market and Economic Activity (Adebayo et al., 2020)

Anulika, (2017)	Nigeria	Y, SM, ST, TO	Bounds Coint Granger causality test	$Y \rightarrow SM$ $Y \rightarrow TO$
Autonios (2010)	67 developing countries	Y, SM, ST, TO	VECM Granger causality test, Johansen coint.	$Y \rightarrow SC$ $Y \rightarrow ST$ $Y \rightarrow SO$
Hofileña & Tomaliwan, (2014)	Philippine	Y, SM	Bounds Coint, VECM	$Y \rightarrow SM$
Naik (2012)	economies of emerging market	Y, SM	GMM	$SM \rightarrow Y$
Pan and Mishra (2016)	33 highly aid-dependent African countries	Y, SM, TO, ST	Bounds Coint.	Negative Relationship
Seetanah et al. (2010)	27 developing countries	Y, SM, TO, ST	VAR	$SC \rightarrow Y$
Hossain and Kamal (2010)	Bangladesh	Y, SM, TO, ST	Bounds Coint, Granger causality	$SM \rightarrow Y$ $TO \rightarrow Y$
Seetanah, et al. (2012)	10 least developed countries	Y, SC, TO, ST	VAR	No Relationship
Aigbovo and Andrew (2015)	Nigeria	Y, SC, SO, ST	Bounds Coint. VECM, Granger causality	$TO \rightarrow Y$ $ST \rightarrow Y$ $SM \rightarrow Y$
Nyong (1997)	Nigeria	Y, SC, SO, ST	Bounds Coint	Negative Relationship
Ewah et al. (2009)	Kenya	Y, SC, SO, ST	OLS	No Relationship
Nguyen et al. (2014)	Canada and Australia	Y, SC, SO, ST	Bounds Coint., Granger causality	$TO \rightarrow Y$ $ST \rightarrow Y$ $SM \rightarrow Y$

Where: Y: GDP $\rightarrow$ indicates a positive relationship; $\leftrightarrow$ indicates bidirectional causality; $\rightarrow$ indicates uni-directional causality Stock market total value traded(ST), Stocks market turnover ratio (TO), Stock Market capitalization (SM)

3- The Stock Market As a Predictor of Economic Activity

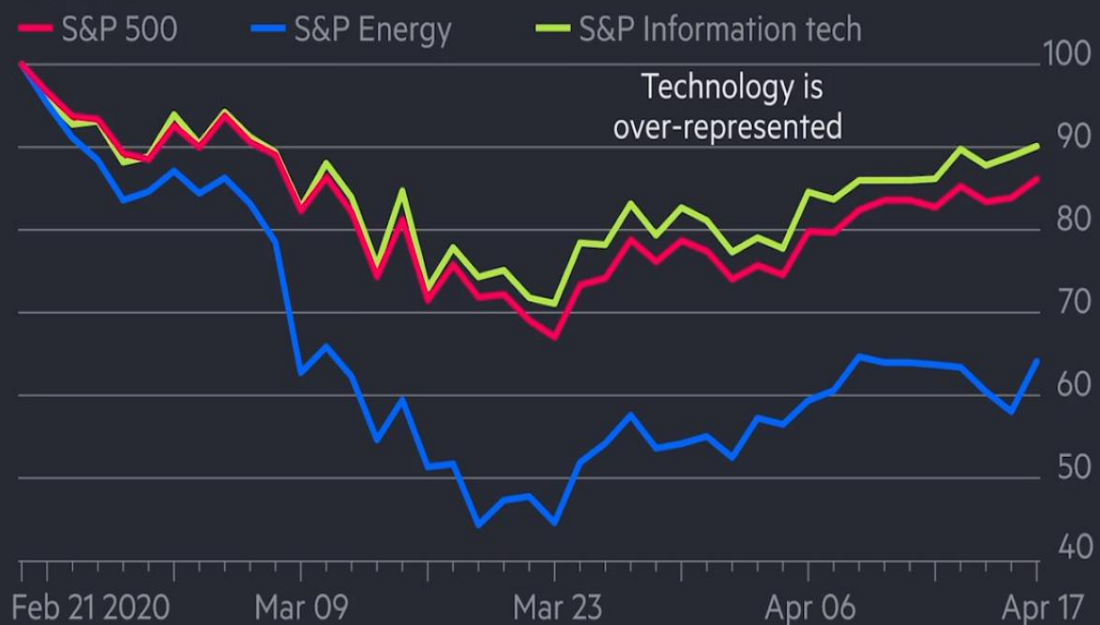


Source: Financial Times

The S&P is not the economy

FT

Rebased



Source: Refinitiv

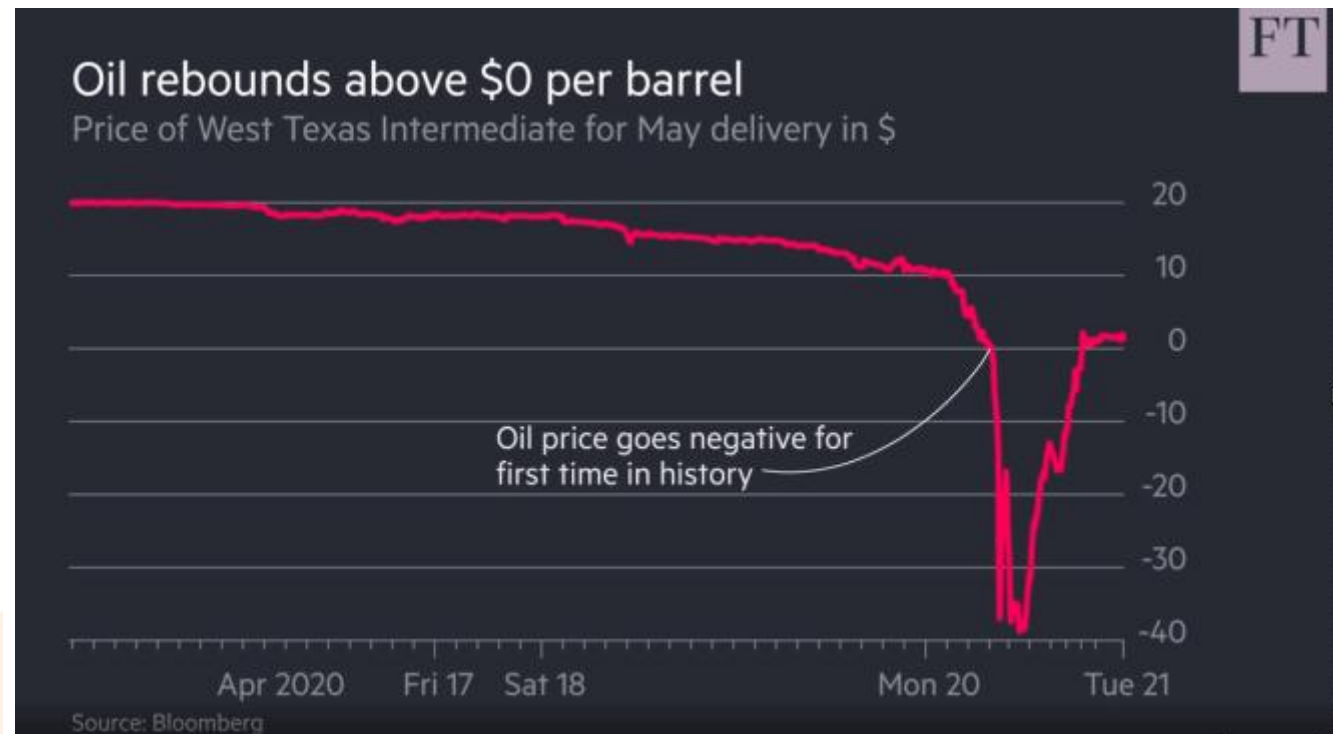
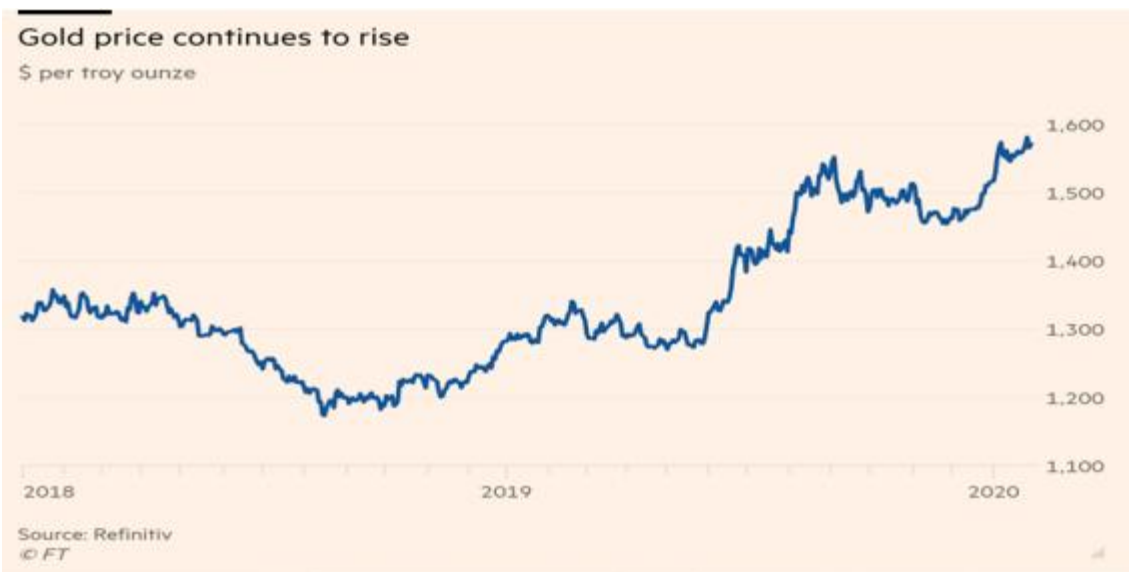
Source: Financial Times

Barclays Aggregate Bond index

FT

Yield (%)





Source: Financial Times